

Visualizing Qualified Business Income (QBI) Deduction

DEDUCTION FOR PASSTHROUGH TRADE/BUSINESS INCOME, QUALIFYING RENTAL REAL ESTATE, REIT DIVIDENDS/PTP INCOME

2026 PARAMETERS

CLIENT NEEDS TO ITEMIZE?	NO
DEDUCTION REDUCES MAGI?	NO
TAXABLE INCOME THRESHOLD (SINGLE HoH)	\$201,750 - \$276,750
TAXABLE INCOME THRESHOLD (MFS)	\$201,775 - \$276,775
TAXABLE INCOME THRESHOLD (MFJ)	\$403,500 - \$553,500

					
	SSTB	NON-SSTB or RENTAL	REIT DIVIDENDS	PTP INCOME	
DEDUCTION AMOUNT	< 20% x QBI (TOTAL FROM EACH CATEGORY) or 20% x TAXABLE INCOME				
INCOME LIMITATIONS	NO DEDUCTION ALLOWED IF OVER TAXABLE INCOME THRESHOLD	DEDUCTION MAY BE AVAILABLE BASED ON WAGES + PROPERTY BASIS	DEDUCTION IS NOT LIMITED BY TAXABLE INCOME THRESHOLD	DEDUCTION MAY BE AVAILABLE BASED ON WAGES + PROPERTY BASIS	
NETTING REQUIREMENT	INCOME AND LOSSES ARE NETTED TOGETHER				INCOME AND LOSSES ARE CALCULATED SEPARATELY UNLESS QBI IS NEGATIVE

SSTB = Specified Service Trade or Business | REIT = Real Estate Investment Trust | PTP = Publicly Traded Partnership

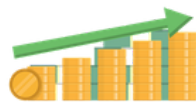
QBI DEDUCTION CALCULATION EXAMPLES (MFJ FILER)

	NON-SSTB #1	NON-SSTB #2	SSTB #1	SSTB #2	QBI LOSS	QBI LOSS
QBI (TRADE/BUSINESS)	\$250,000	\$250,000	\$100,000	\$300,000	(\$50,000)	(\$50,000)
QBI (REIT DIVIDENDS)	\$10,000	\$0	\$10,000	\$0	\$10,000	\$0
NET CGs + QDs	\$30,000	\$30,000	\$0	\$0	\$0	\$0
TAXABLE INCOME	\$300,000	\$270,000	\$600,000	\$350,000	\$600,000	\$350,000
QBI DEDUCTION	\$52,000 20% X (\$250,000 + \$10,000)	\$48,000 20% X (\$270,000 - \$30,000)	\$2,000	\$60,000	\$0	\$0
QBI LOSS CARRYFORWARD	N/A	N/A	20% X \$10,000 N/A	20% X \$300,000 N/A	(\$40,000)	(\$50,000)

OTHER PLANNING CONSIDERATIONS



\$400 Minimum QBI Deduction if QBI ≥ \$1,000



Taxable Income is Reduced by Net Capital Gains and Qualified Dividends



QBI Losses Are Carried Forward to Potentially Offset Future QBI Deductions



Aggregation Rules May Be Allowed for Related Businesses